

PERFORMANCE OF CONTRACT

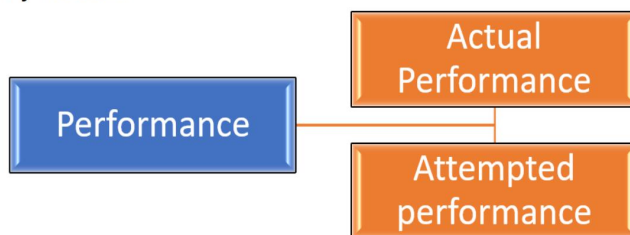
MEANING:

Fulfilling of the legal obligation created under the contract by both the promisor and promisee.

According to Section 37 of the Indian Contract Act, 1872, the parties to the contract have the duty to:

- (i) Perform, or
- (ii) Offer to perform their respective promises

Unless such performance is dispensed with or excused by the Act.



Where the promisor is willing to perform the contract and he offers to perform the same, the promisee has the duty to accept the same.

Please Note: An offer of performance is known as Tender.

ESSENTIAL OF VALID TENDER

Tender or offer of performance to be valid must satisfy the following conditions:

(i) It must be unconditional

The offer to perform the contract must be unconditional. If the promisor offers to pay only a part of the sum due but says that it should be considered to be full payment, he is imposing a condition and therefore this cannot be considered to be a valid tender.

Please Note: Payment by cheque is deemed to be subject to encashment and therefore it is only a conditional tender.

Illustration: 'X' offers to 'Y' the principal amount of the loan. This is not a valid tender since the whole amount of principal and interest is not offered.

- (ii) It must be made at a proper time and place
It must be made at a proper time and place, so that the person to whom it is made may have a reasonable opportunity of ascertaining that the person by whom it is made is able and willing to do the whole of what he is bound by his promise to do

Illustration: Mr. A, the promisor, wants to deliver the goods at 1 am on a Sunday night to Mr. B, the promisee, at his house. This is not a valid tender unless it was so agreed.

- (iii) Reasonable opportunity to examine goods.
Another requirement of a valid tender is that if the offer is to deliver anything to the promisee, the promisee must have a reasonable opportunity of seeing that the thing offered is the thing which the promisor is bound by his promise to deliver.

Illustration: Delivery of something to the promisee by the promisor must have reasonable opportunity of inspection.

- (iv) An offer of performance to one of the joint promises is a valid tender:
An offer to one of several joint promisees has the same legal consequences as an offer to all of them.

PERSON BY WHOM PROMISE IS TO BE PERFORMED

PROMISOR HIMSELF: This usually happens in cases where the use of some personal skills of the promisor is involved for example a contract to paint a picture, a contract to sing, etc.

AGENT OF PROMISOR: Where it does not involve personal skill.

LEGAL REPRESENTATIVE: If a party to the contract dies before he has performed the contract that, by itself, does not put an end to the obligation to perform the same.

Promisee binds the representatives of the promisors in case of death of such promisors before performance. However, if the contract involves personal skills and if the promisor dies, the contract becomes void.

THIRD PERSON: Acceptance of promise from the third party.

If the promisor accepts performance of a contract by a third party, he can't afterwards enforce the performance against the promisor although the promisor had neither authorized nor ratified the act of the third party.

JOINT PROMISORS AND NATURE OF THEIR LIABILITY

(a) The Liability of the Joint Promisor is Joint and Several:

When two or more persons make a joint promise, the promisee may, in the absence of express agreement to the contrary, compel any one or

more of such joint promisors to perform the whole of the promise.

Illustration: A, B and C jointly promise to pay D 3,000 rupees. D may compel either A or B or C to pay him 3,000 rupees.

(b) Each promisor may compel contribution [Right of contribution]

Each of two or more joint promisors may compel every other joint promisor to contribute equally with himself to the performance of the promise, unless a contrary intention appears from the contract.

Illustration: A, B and C jointly promise to pay D the sum of 3,000 rupees. C is compelled to pay the whole. A is insolvent, but his assets are sufficient to pay one-half of his debts. C is entitled to receive 500 rupees from A's estate, and 1,250 rupees from B.

(c) Sharing of loss by default in contribution [Sharing of Deficiency]

If any one of two or more joint promisors makes default in such contribution, the remaining joint promisors must bear the loss arising from such default in equal shares.

TIME AND PLACE FOR PERFORMANCE

(a) Time for performance of promise, when no application is to be made and no time is specified

Where, by the contract, a promisor is to perform his promise without application by the promisee, and no time for performance is specified, the engagement must be performed within a reasonable time.



(b) Time and place for performance of promise, where time is specified and no application to be made

When a promise is to be performed on a certain day, and the promisor has undertaken to perform it without application by the promisee, the promisor may perform it at any time during the usual hours of business on such day and at the place at which the promise ought to be performed.

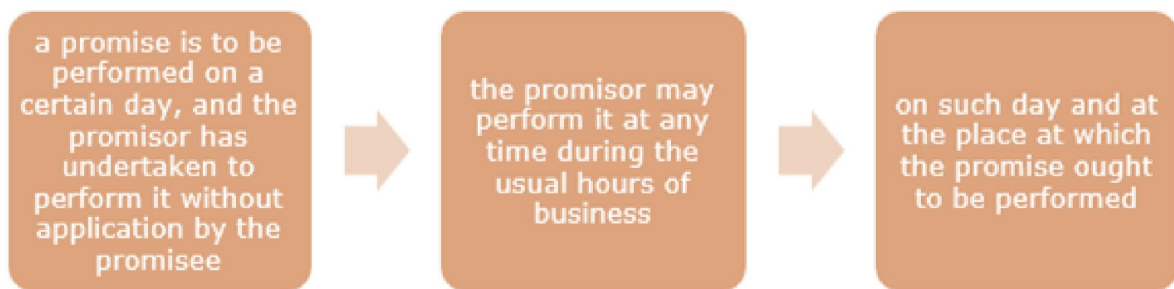
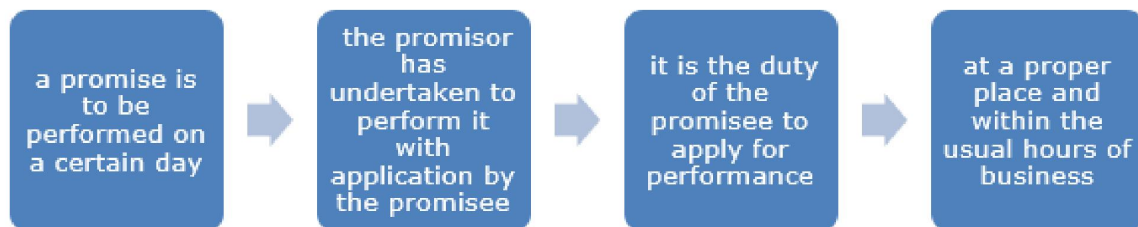


Illustration: A promises to deliver goods at B's warehouse on the first January. On that day A brings the goods to B's warehouse, but after the usual hour for closing it, and they are not received. A has not performed his promise.

(c) Application for performance on certain day to be at proper time and place

When a promise is to be performed on a certain day, and the promisor has not undertaken to perform it without application by the promisee, it is the duty of the promisee to apply for performance at a proper place and within the usual hours of business.



(d) Place for performance of promise, where no application to be made and no place fixed for performance

When a promise is to be performed without application by the promisee, and no place is fixed for the performance of it, it is the duty of the promisor to apply to the promisee to appoint a reasonable place for the performance of the promise, and to perform it at such place.

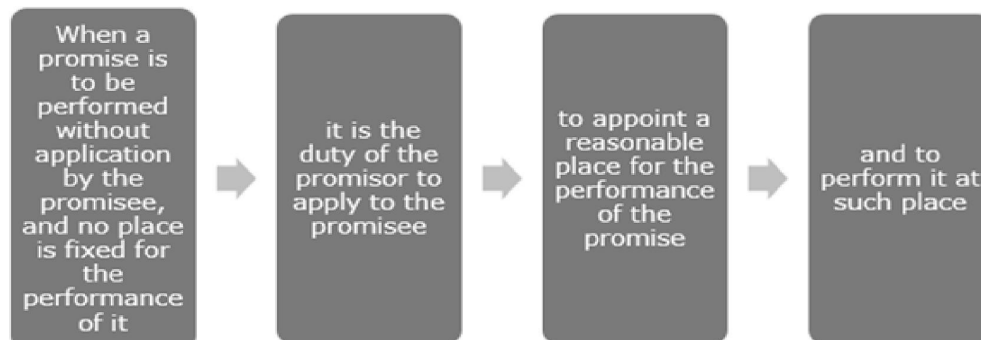


Illustration: A undertakes to deliver a thousand maunds of jute to B on a fixed day. A must apply to B to appoint a reasonable place for the purpose of receiving it, and must deliver it to him at such place.

(e) Performance in manner or at time prescribed or sanctioned by promisee

The performance of any promise may be made in any manner, or at any time which the promisee prescribes or sanctions.

Illustrations: B owes A 2,000 rupees. A desires B to pay the amount to A's account with C, a banker. B, who also banks with C, orders the amount to be transferred from his account to A's credit, and this is done by C. Afterwards, and before A knows of the transfer, C fails. There has been a good payment by B.

PERFORMANCE OF RECIPROCAL PROMISES:

(a) Contract requiring simultaneous performance

When a contract consists of reciprocal promises to be simultaneously performed, no promisor need perform his promise unless the promisee is ready and willing to perform his reciprocal promise.

Illustration: A and B contract that A shall deliver goods to B to be paid for by B on delivery.

- A need not deliver the goods, unless B is ready and willing to pay for the goods on delivery.
- B need not pay for the goods, unless A is ready and willing to deliver them on payment.

(b) Order of performance of reciprocal promises

Where the order in which reciprocal promises are to be performed is expressly fixed by the contract, they shall be performed in that order; and where the order is not expressly fixed by the contract, they shall be performed in that order which the nature of the transaction requires.

Illustration: A and B contract that A shall build a house for B at a fixed price. A's promise to build the house must be performed before B's promise to pay for it.

(c) One party preventing the other from performing his promise

When a contract contains reciprocal promises, and one party to the contract prevents the other from performing his promise, the contract becomes voidable at the option of the party so prevented; and he is entitled to compensation from the other party for any loss which he may sustain in consequence of the non-performance of the contract

Illustration: A and B contract that B shall execute certain work for A for a thousand rupees. B is ready and willing to execute the work accordingly, but A prevents him from doing so. The contract is voidable at the option of B; and, if he elects to rescind it, he is entitled to recover from A compensation for any loss which he has incurred by its non-performance.

(d) Non-performance of reciprocal promise by the party who is to perform first:

When a contract consists of reciprocal promises, such that one of them cannot be performed, or that its performance cannot be claimed till the other has been performed, and the promisor of the promise last mentioned fails to perform it, such promisor cannot claim the performance of the reciprocal promise, and must make compensation to the other party to the contract for any loss which such other party may sustain by the non-performance of the contract.

Illustration: A hires B's ship to take in and convey, from Calcutta to Mauritius, a cargo to be provided by A, B receiving a certain freight for its conveyance. A does not provide any cargo for the ship. A cannot claim the performance of B's promise, and must make compensation to B for the loss which B sustains by the non-performance of the contract.

Effect of failure to perform the contract in time

Effect of such failure when time is essential

When a party to a contract promises to do a certain thing at or before a specified time, or certain things at or before specified times, and fails to do any such thing at or before the specified time, the contract, or so much of it as has not been performed, becomes voidable at the option of the promisee, if the intention of the parties was that time should be of the essence of the contract.

Time is generally considered to be of the essence of the contract in the following cases:

- Where the parties have expressly agreed to treat it as of the essence of the contract
- Where delay operates as an injury
- Where the nature and necessity of the contract requires it to be so construed.

EFFECT OF SUCH FAILURE WHEN TIME IS NOT Essential

If it was not the intention of the parties that time should be of the essence of the contract, the contract does not become voidable by the failure to do such thing at or before the specified time but the promisee is entitled to

compensation from the promisor for any loss occasioned to him by such failure.

Effect Of Acceptance Of Performance At Time Other Than That Agreed Upon

If, in case of a contract voidable on account of the promisor's failure to perform his promise at the time

agreed, the promisee accepts performance of such promise at any time other than that agreed, the promisee cannot claim compensation for any loss occasioned by the non-performance of the promise at the time agreed, unless, at the time of such acceptance, he gives notice to the promisor of his intention to do so.